

on mortgage, and the trustees intending to invest on government * securities, afterwards, *at the instance* [*313] *of the tenant for life*, and to procure a higher rate of interest, invested on mortgages which proved deficient, they were held to be liable for the difference to the *cestui que trust* in remainder. The ground of the decision, however, was, that the trustees had consulted the benefit of the tenant for life at the expense of the remainderman, and the Court gave no opinion upon the dry question, whether trustees without a power could safely invest on mortgage, but did not encourage the idea that they could (*a*). Trustees, until the recent Acts, were certainly not justified in lending upon mortgage, when by the terms of their instrument of trust they were expressly directed to invest in the *funds* (*b*).

Late Acts. — Scotland. — Now by 22 & 23 Vict. c. 35, s. 32 (*c*), “when a trustee, executor, or administrator, shall not by some instrument creating his trust be expressly forbidden to invest any trust fund on *real securities in any part of the United Kingdom*,” he is at liberty to make such investment, provided it be in other respects reasonable and proper. Under this enactment, therefore, trustees may now lend on real security in *England* or *Wales*, or *Ireland*, but not in the *Isle of Man*, and as the Act by the last section is not to extend to *Scotland*, and as the Scotch real property law is quite different from the English, trustees could not be advised to lend money on real security in Scotland (*d*).

Mortmain. — Also by 23 & 24 Vict. c. 38, s. 11, and the general order before mentioned, trustees having power to invest on Government or Parliamentary securities may now invest on real securities in *England* or *Wales*, and such investments may be made by corporations and trustees holding moneys in trust for any public or charitable purpose notwithstanding the statutes of mortmain (*e*).

Franklyn, 1 De G. & Sm. 531; Barry v. Marriott, 2 De G. & Sm. 491; *Ex parte* Johnson, 1 Moll. 128; *Ex parte* Ridgway, 1 Hog. 309.

(*a*) Raby v. Ridehalgh, 7 De G. M. & G. 104.

(*b*) Pride v. Fooks, 2 Beav. 430;

Waring v. Waring, 3 Ir. Ch. Rep. 331.

(*c*) Made retrospective by 23 & 24 Vict. c. 38, s. 12.

(*d*) See *Re Miles's Will*, 5 Jur. N. S. 1230.

(*e*) 33 & 34 Vict. c. 34.